SECTION A – 2 MARKS

Q1. (a)

An **accounting standard** is a written statement of rules for recognising, measuring, presenting and disclosing transactions in the financial statements. In India the Accounting Standards Board prepares them and the Council of the ICAI issues them. A standard cannot override the law.

Q1. (b)

Accounting standards are issued so that enterprises follow one accepted practice. Their benefits are:

1. **Standardisation:** similar transactions are recorded in one way.
2. **Disclosure:** the statements give the extra information users need.
3. **Comparability:** results of different enterprises, and of different years, can be compared.

Q1. (c)

Inventories, as per AS 2 (Revised), are assets held:

1. for sale in the ordinary course of business,
2. in the process of production for such sale, or
3. as materials or supplies to be consumed in production or in rendering services.

Q1. (d)

Property, plant and equipment, as per AS 10 (Revised), are tangible items held for use in the production or supply of goods or services, for rental to others, or for administrative purposes. They are expected to be used during more than one period, that is for more than 12 months.

Q1. (e)

AS 13 classifies investments by the period for which they are held:

1. **Current investment:** readily realisable, and intended to be held for not more than one year from the date of purchase.
2. **Long-term investment:** any investment other than a current investment.

Q1. (f)

Borrowing cost, as per AS 16, means interest and other costs incurred in connection with the borrowing of funds. It includes interest on loans, amortisation of discount or premium, finance charges under leases, and exchange differences to the extent they are an adjustment to interest.

Q1. (g)

Intangible assets have no physical substance. Four examples are:

1. Patents
2. Copyrights
3. Trademarks
4. Computer software

Q1. (h)

A **lease**, as per AS 19, is an agreement by which the lessor gives the lessee the right to use an asset for an agreed period, in return for a payment or a series of payments. A finance lease transfers substantially all the risks and rewards of ownership. An operating lease does not.

Q1. (i)

AS 15 (Revised) divides employee benefits into four types:

1. **Short-term benefits**, such as wages, paid leave and bonuses payable within twelve months.
2. **Post-employment benefits**, such as gratuity and pension.
3. **Other long-term benefits**, such as long-service leave.
4. **Termination benefits**, payable when employment comes to an end.

Q1. (j)

AS 29 lays down when a provision, a contingent liability and a contingent asset are recognised. A provision is recorded only when a present obligation arises from a past event, an outflow of resources is probable, and the amount can be estimated reliably. A contingent liability is disclosed, not recognised. A contingent asset is not recognised.

SECTION B – 5 MARKS

Q2.

The ICAI constituted the Accounting Standards Board in 1977 to prepare standards. The standard-setting process is:

1. The area that needs a standard is identified.
2. A study group is formed and it prepares a draft.
3. The draft is circulated and the views of different bodies are taken.
4. An exposure draft is finalised and issued for public comments.
5. The draft is modified in the light of those comments.
6. The Council of the ICAI issues the Accounting Standard. For companies, the Ministry of Corporate Affairs notifies it.

A standard does not override the law. Where the law requires a different treatment, the law is followed and the departure is disclosed.

Q3.

Amortisation is the systematic writing off of the depreciable amount of an intangible asset over its useful life. Depreciable amount is cost, or the amount substituted for cost, less any residual value. The charge begins when the asset is available for use and is recognised as an expense.

AS 26 requires the method to follow the pattern in which the economic benefits are consumed. If that pattern cannot be determined reliably, the straight-line method is used. The methods are:

1. **Straight-line method:** an equal amount each year.
2. **Diminishing-balance method:** a fixed percentage on the written-down value.
3. **Unit-of-production method:** based on the units expected from the asset.

The period and the method are reviewed at each financial year end. A change is treated as a change in accounting estimate.

Q4.

AS 29 says a provision is recognised only when all three conditions are met:

1. The enterprise has a present obligation, legal or constructive, as a result of a past event.
2. An outflow of resources embodying economic benefits is probable, that is more likely than not.
3. A reliable estimate can be made of the amount. The amount recognised is the best estimate of the expenditure required to settle the obligation at the balance-sheet date.

If any one condition fails, no provision is made. The item is then a contingent liability and is disclosed, unless the possibility of outflow is remote. A contingent asset is not recognised.

Q5.

Under AS 2, fixed production overhead is absorbed on normal capacity. Fixed overhead per kg = Rs. 20,00,000 / 2,00,000 kg = Rs. 10.

Particulars	Rs. per kg
Material cost	200
Direct labour	40
Direct variable overhead	20
Fixed production overhead	10
Cost of finished goods	**270**

Value of closing inventory = 4,000 kg × Rs. 270 = **Rs. 10,80,000**.

Q6.

Depreciation is 10% a year on the straight-line method. On a cost of Rs. 3,000 lakhs and a life of 10 years, with no residual value, depreciation is Rs. 300 lakhs a year.

Particulars	Rs. lakhs
Cost	3,000
Less: Depreciation for 4 years (300 × 4)	1,200
Carrying amount at the end of year 4	1,800
Revalued amount adopted	2,700
Revaluation surplus	900

The useful life is unchanged, so 6 years remain. From year 5 the revalued amount is written off over those 6 years: 2,700 / 6 = Rs. 450 lakhs a year.

At the end of	Rs. lakhs
Year 5 (2,700 – 450)	**2,250**
Year 6 (2,250 – 450)	**1,800**

Q7.

Value in use is the present value of cash flows from continuing use and from disposal at the end of the life. The residual value of Rs. 5 lakhs is therefore discounted with the year-5 factor.

Year ended	Cash flow (Rs. lakhs)	Factor at 10%	Present value
31.03.2012	50	0.909	45.45
31.03.2013	30	0.826	24.78
31.03.2014	30	0.751	22.53
31.03.2015	20	0.683	13.66
31.03.2016	20	0.620	12.40
Residual value	5	0.620	3.10
Value in use			**121.92**

Recoverable amount is the higher of net selling price and value in use. Net selling price is Rs. 60 lakhs, so recoverable amount is **Rs. 121.92 lakhs**. The carrying amount of Rs. 100 lakhs is lower, so there is no impairment loss.

SECTION C – 10 MARKS

Q10.

The Council of the ICAI, for accounting periods beginning on or after 1 April 2020, classifies non-company entities into four levels. Level I entities are large and comply with every Accounting Standard in full. Level II, Level III and Level IV are medium, small and micro entities. Together they are called MSMEs, and they are allowed certain relaxations.

Level I

An entity is Level I if it falls in any one of these:

1. Its securities are listed, or are in the process of listing, in India or outside India.
2. It is a bank, including a co-operative bank, a financial institution, or it carries on insurance business.
3. Its turnover, excluding other income, exceeds Rs. 250 crore in the immediately preceding accounting year.
4. Its borrowings, including public deposits, exceed Rs. 50 crore at any time during that year.
5. It is a holding or subsidiary entity of any of the above.

Level II

An entity that is not Level I is Level II if:

1. Turnover, excluding other income, exceeds Rs. 50 crore but does not exceed Rs. 250 crore, or
2. Borrowings, including public deposits, exceed Rs. 10 crore but do not exceed Rs. 50 crore, or
3. It is a holding or subsidiary entity of any such entity.

Level III

An entity that is not Level I or Level II is Level III if:

1. Turnover, excluding other income, exceeds Rs. 10 crore but does not exceed Rs. 50 crore, or
2. Borrowings, including public deposits, exceed Rs. 2 crore but do not exceed Rs. 10 crore, or
3. It is a holding or subsidiary entity of any such entity.

Level IV

Every non-company entity not covered above is a Level IV entity. An MSME that uses the relaxations discloses, in a note, that it is an MSME and states its level. This classification does not apply to a non-company entity that is required to follow Ind AS.

Q11.

The shares are held as current investments, so the closing balance is valued at cost or market value, whichever is lower. A bonus in the ratio of 1:2 means one bonus share for every two shares held, and the bonus shares are recorded at nil cost. Cost of the 1,000 shares purchased on 1 April 2021:

Particulars	Rs.
Price (1,000 × Rs. 120)	1,20,000
Brokerage at 2%	2,400
Share-transfer stamps, 50 paise per Rs. 100 of Rs. 1,20,000	600
Total cost	**1,23,000**

Bonus shares = 1,000 × 1/2 = 500. Shares after the bonus = 1,500. Average cost = 1,23,000 / 1,500 = Rs. 82 per share. Sale of the 500 bonus shares on 31 March 2022:

Particulars	Rs.
Sale price (500 × Rs. 90)	45,000
Less: Brokerage at 2%	900
Net proceeds	44,100
Less: Cost of shares sold (500 × Rs. 82)	41,000
Profit on sale	**3,100**

The remaining 1,000 shares cost Rs. 82,000. Their market value is 1,000 × Rs. 90 = Rs. 90,000. Cost is lower, so they are carried at Rs. 82,000. The price of Rs. 175 was the cum-bonus quotation and is not the year-end market value.

Debit	Nominal	Cost	Credit	Nominal	Cost
To Bank (1.4.2021)	1,00,000	1,23,000	By Bank (sale)	50,000	44,100
To Bonus shares	50,000	—	By Balance c/d	1,00,000	82,000
To Profit and loss	—	3,100			
	1,50,000	**1,26,100**		**1,50,000**	**1,26,100**

Nominal value is Rs. 100 a share. Balance brought down on 1 April 2022 is 1,000 shares, cost Rs. 82,000.

Q12.

The factory building is a qualifying asset under AS 16, since it took a substantial period to get ready for use. Borrowing cost on the specific loan is capitalised first. Expenditure above that loan is financed by the general borrowings, at their weighted average rate. No income arose from temporary investment of the borrowings.

Interest on general borrowings:

Loan (Rs.)	Rate	Interest (Rs.)
4,00,000	9%	36,000
5,00,000	12%	60,000
3,00,000	10%	30,000
12,00,000		**1,26,000**

Weighted average rate = 1,26,000 / 12,00,000 × 100 = 10.5%. Interest on the specific loan = 2,00,000 × 8% = Rs. 16,000. Weighted accumulated expenditure up to 31 March 2018:

Date	Amount (Rs.)	Period	Weighted (Rs.)
01.04.2017	3,00,000	12/12	3,00,000
31.05.2017	2,40,000	10/12	2,00,000
01.08.2017	4,00,000	8/12	2,66,666.67

Date	Amount (Rs.)	Period	Weighted (Rs.)
31.12.2017	3,60,000	3/12	90,000
	13,00,000		**8,56,666.67**

Amount met from the specific loan = Rs. 2,00,000. Balance met from general borrowings = 8,56,666.67 – 2,00,000 = Rs. 6,56,666.67. Interest on that balance = 6,56,666.67 × 10.5% = Rs. 68,950.

Interest to be capitalised = 16,000 + 68,950 = **Rs. 84,950**. Cost of the building = 13,00,000 + 84,950 = **Rs. 13,84,950**.

Journal: Building Dr. 13,84,950. To Bank 13,00,000. To Interest capitalised 84,950.